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Global Investment Strategy

Market Commentary

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Last Week's S&P 500 Index: -1.2%

Analysis and outlook for the equity market

» *The U.S. stock market is likely to be very volatile on Friday after the overnight release of the UK referendum results. Should the result be to "exit" the European Union the initial move in the stock market should be to the downside.*

What it may mean for investors

» *An "exit" decision, in our opinion, represents a buying opportunity for Large-cap U.S. stocks. But be warned, it is likely to be a wild ride for the market over the initial handful of trading days.*

You Are Going to Need a Steady Hand on the Rudder

Are you ready for a potentially wild ride? Have you buckled your seatbelt? If the answer is "no" to either of those questions, do you know what lies just ahead? And we are talking less than 36 hours in the future. If not, you haven't been paying attention or reading this weekly piece. While this strategist won't get his feelings hurt if you do not make the Market Commentary a regular part of your weekly reading, I will be upset if you are not thinking about the potentially volatile reaction that may occur in the global financial markets, and your equity portfolio, in the wake of the U.K.'s referendum vote on June 23. And the volatility could be to the upside or the downside.

Just to make sure we are all on the same page, let's first review what is happening on Thursday in Britain. On that day, citizens of the United Kingdom will go to the polls and cast their votes. The result of the referendum will determine whether the U.K. remains a member of the (for now) 28-nation European Union (EU). Tensions have been running high on both the "exit" and "remain" sides of the coin. There could be a lot at stake in terms of both economics and politics. This strategist believes any economic risks are temporary and would be overcome in time should the referendum yield an "exit" decision. In terms of politics, let's just say it's unlikely the bureaucrats in Brussels are keen to give up any of their turf.

The S&P 500 Index has been trapped in a slightly less than 100-point trading range since the middle of March. The index has touched each side of that range a couple of times in what has been a series of low-volume trading sessions as the consolidation of the big gains off the mid-February lows continues. The uncertainty over the Federal Reserve's interest rate intentions also helped keep the market in this narrow range. However, those questions were largely answered when the May employment report ended up being a major disappointment to some investors and the June Federal Open Market Committee (FOMC) meeting yielded a more dovish tone from our central bankers. Investors appear quite convinced, based on the fed funds futures contracts, that the Fed will hike rates at most just one time this year. We agree.

If Thursday's vote in the U.K. brings an "exit" result, the Friday trading session in the U.S. promises to be a volatile one. The initial volatility will likely be to the downside. Technical support in the 2010-2020 area in the S&P 500 could easily be tested. We think the index could trade through those levels temporarily, but we want to be buyers of domestic large-cap stocks on any pullback related to the vote. A "remain" result would likely not feature the same magnitude of volatility versus the "exit" outcome (however, it would almost certainly be upside volatility).

But one thing is for sure: You are going to need a steady hand on the rudder to navigate through the rocky waters likely to come in the wake of this week's U.K. referendum. Stay the course. Stay invested

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